

in demand versus supply." It is also at variance with the overall jobs scenario in the country. The unemployment rate grew from 7.6 per cent in March to 7.8 per cent in April, according to the Centre for Monitoring India Economy. This is only marginally better than the April 2021 numbers when unemployment was 7.97 per cent. However, the widening demand-supply gap, changing talent requirements for new emerging technologies and reopening of the sector post the pandemic are the reasons being cited for the present flux in the IT sector. The higher demand for professionals has led to pay scales in the sector rising by 15-20 per cent overall, and by 30-40 per cent for specific skills, say experts.

The uptick in demand during the pandemic forced companies to poach employees from each other. Attrition levels among the top Indian IT services companies last fiscal were 17-28 per cent, more than double the previous year's levels of 7-12 per cent. TCS had an attrition rate of 17.4 per cent in FY22, Infosys 27.7 per cent, Wipro 23.8 percent and HCL Technologies 21.9 per cent. Talent scouts now need to chase more prospective tech professionals with offers than before for a few of them to materialise. "We never had 50 per cent kind of offer-dropouts in the past," says Xpheno's Karanth. "Today, if you want 100 people joining, you should have made offers to at least 200 people, depending on the segment," he says.

{DEMAND VERSUS SUPPLY}

What the tech industry is going through, says Lohit Bhatia, president of the Indian Staffing Federation, is the outcome of several factors coalescing, perhaps for the first time. When the pandemic set in, in 2020, job security became a foremost concern, and voluntary attrition remained low. Most companies, including tech ones, forwent bonuses and curtailed variable pay. "In the second year of Covid, companies did restart these things, but were still being conservative," he says. Meanwhile, demand rose sharply as businesses struggled to shift online during the lockdowns, fast forwarding a tectonic shift in technology that would normally have taken several years, says Bhatia. Suddenly, not just in India but across the world, the availability of techies with specialised digital skills lagged behind demand in domains such as cloud computing, artificial intelligence and machine learning, big data analytics and cyber security. "There is a supply side constraint and people are willing to throw top dollar to get talent," says Bhatia. "So, if you are an IT major working with a global customer, you much rather have a slightly more expensive employee than not have the employee and lose that customer."

That's not unusual in the tech sector—lateral hiring has always been cyclical, with pay offers depending on the flavour of the moment. However, as employees emerge from two weary Covid years, the ongoing churn is more pronounced than before. Such cycles have happened in the past, says Karanth. "But not to this extent."

As a result, software engineers adept at cloud technologies such as AWS or Azure or programming languages such as Python, R and Julia are commanding big hikes while switching jobs, on an already high salary base. For instance, full-stack developers with 4-7 years of experience and a salary bracket of Rs 15-32 lakh per annum currently expect increases of 70 per cent and upwards (*see box*). Full stack-developers typically work on software applications end-to-end but exceptional talent in this category is usually scarce. Hence, companies split these software development roles into front-end, which entails designing the user interface of websites or apps, and back-end, which involves writing code for the server where these apps are hosted or the databases the apps are built on. Basically,